Strategy Profitability & Options

In this section we are going to cover the two options you have for how to trade this strategy, the performance of each approach, and how to choose which one is best for you.
The two options you have for how to trade this strategy are:
So what are these options?

1. **Sell at-the-money (ATM) straddles with 30 days to expiration (DTE) and delta hedge daily. We have a stop loss in place if the VIX goes above 40.**
2. **Sell put credit spreads, where you sell a delta 30 put and buy a delta 10 put as a hedge. Since this has a hedge, we do not use any stop loss.**

Both approaches work because implied volatility typically overstates realized volatility, creating an opportunity to profit from selling options. However, they each have different risk and management considerations.
For a quick comparison between them to see which is better suited to you, check out this table:

Strategy	**Expected Return**	**Max Drawdown**	**Management Complexity**	**Best For**	**Margin Usage**
Short Straddles (With VIX Filter)	Higher	Higher	Requires daily delta hedging	Traders comfortable with active manageme nt	High (Margin account + requires level 4 margin)
Short Put Credit Spreads (No VIX Filter)	Lower	Lower	Minimal trade management	Traders who prefer passive strategies	Low (can be traded in IRA account, only Level 2 or 3 required)

If you want something easy, hands off, and effective, the Put Credit Spreads are the right choice.

If you want to be more hands on and maximize your returns, the Short Straddles are the right choice.

Now let's dive deep into the strategy performance so you can see how it performs for both structures.

Backtest Performance – ETF Premium Strategy

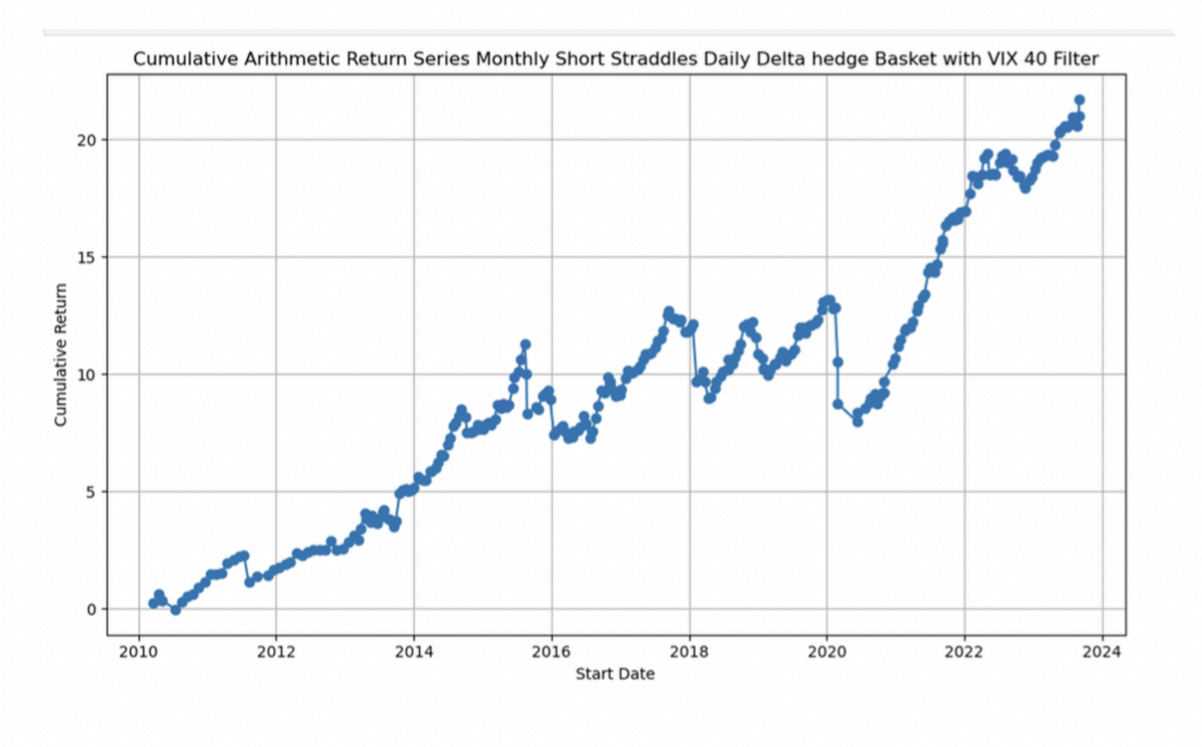
What we are going to do now is look at an analysis of the performance for each option to give you an idea of the performance for each approach. Please remember that the purpose of this section is not to determine an exact dollar amount of expected returns, but rather to evaluate whether selling volatility on ETFs with a variance risk premium is a viable strategy, and the pros / cons of each structure.

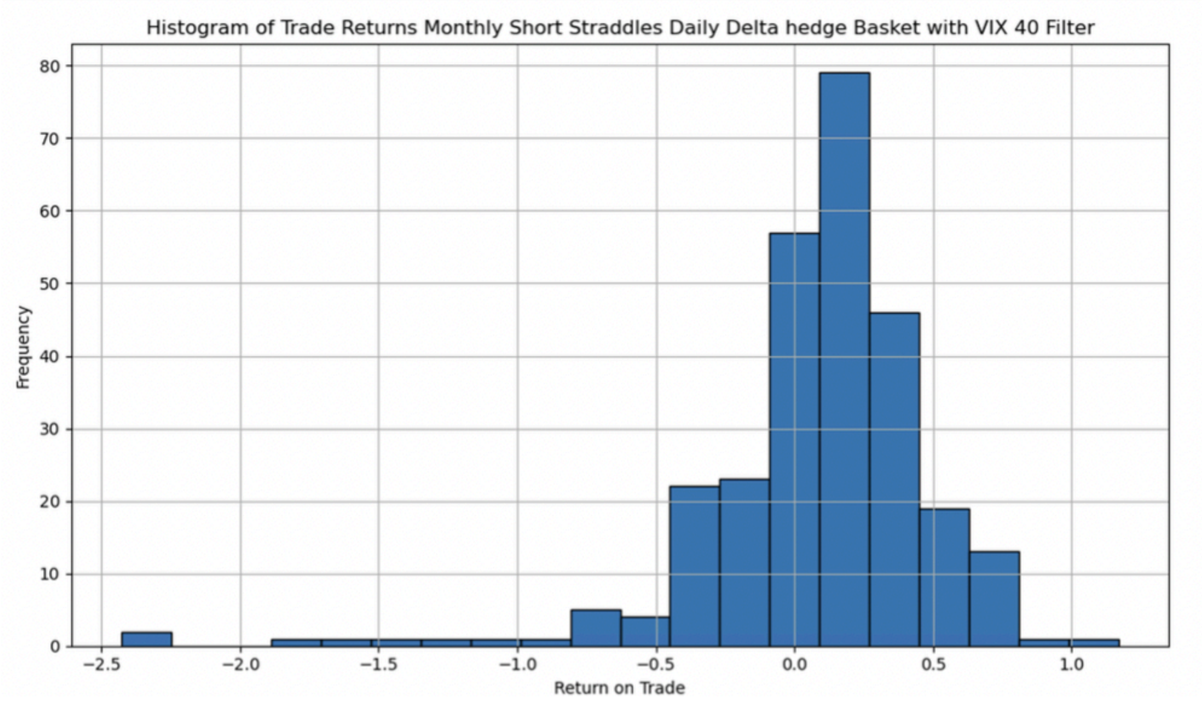
Key Findings

Below are the **backtest results** for the two best-performing structures:

- **Short ATM Straddles with a VIX Filter**
- **Short Put Credit Spreads without a VIX Filter**

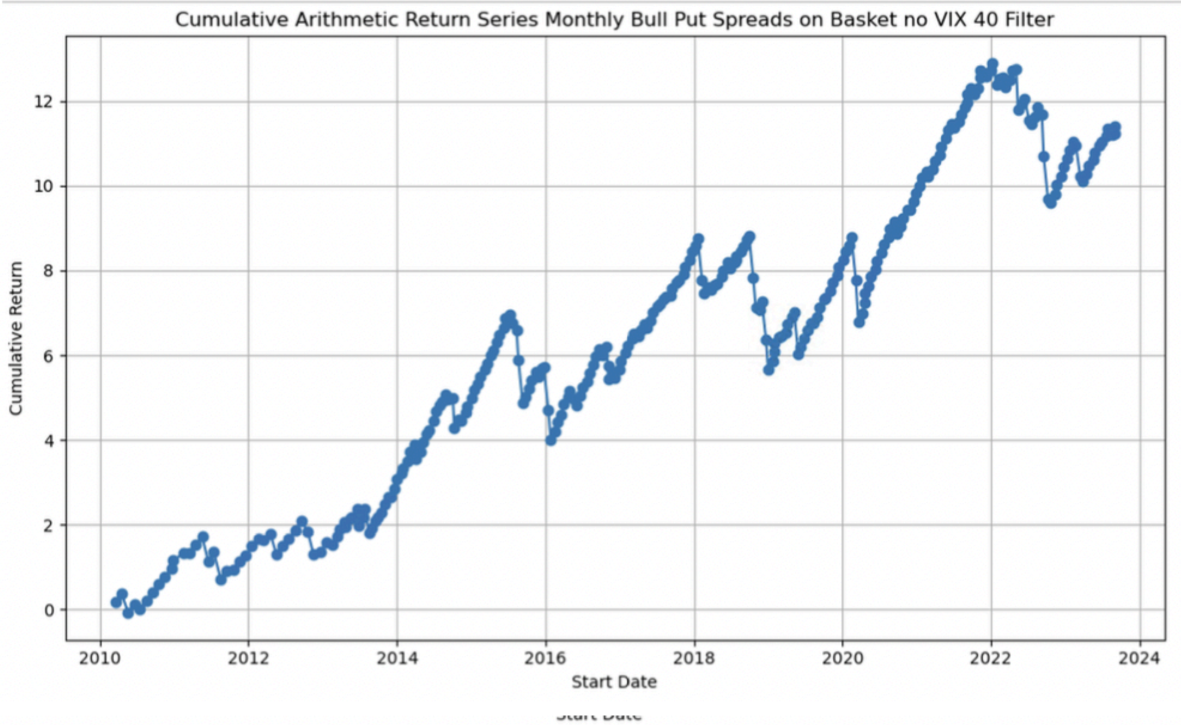
Short ATM Straddle with a VIX Filter

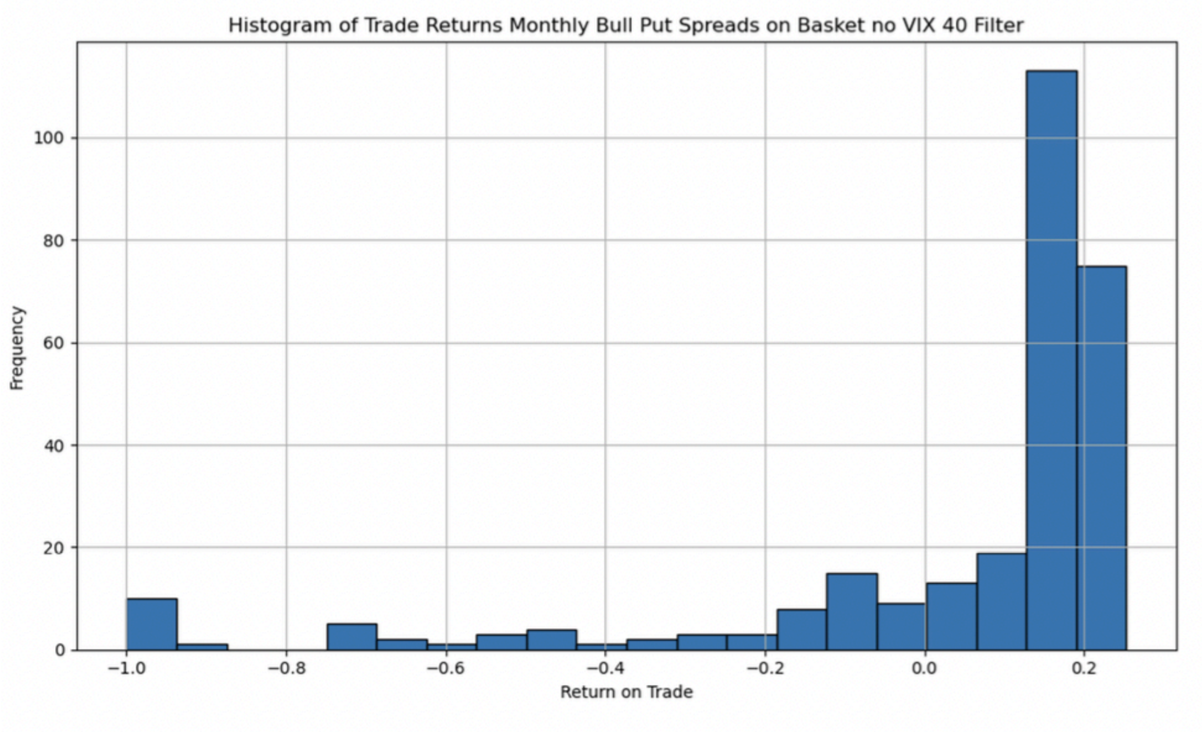




- **Pros:** Higher total return, full exposure to the variance risk premium, wider break-even points.
- **Cons:** Requires **daily delta hedging**, more complex to manage, higher trading costs.

Short Put Credit Spread (No VIX Filter)





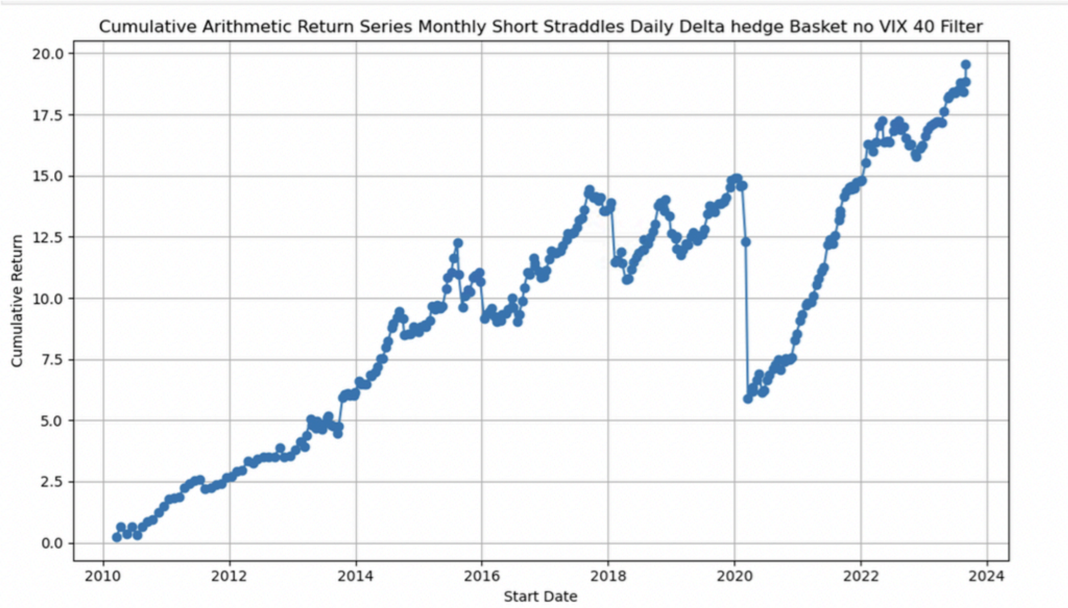
A note about the impact of trade management

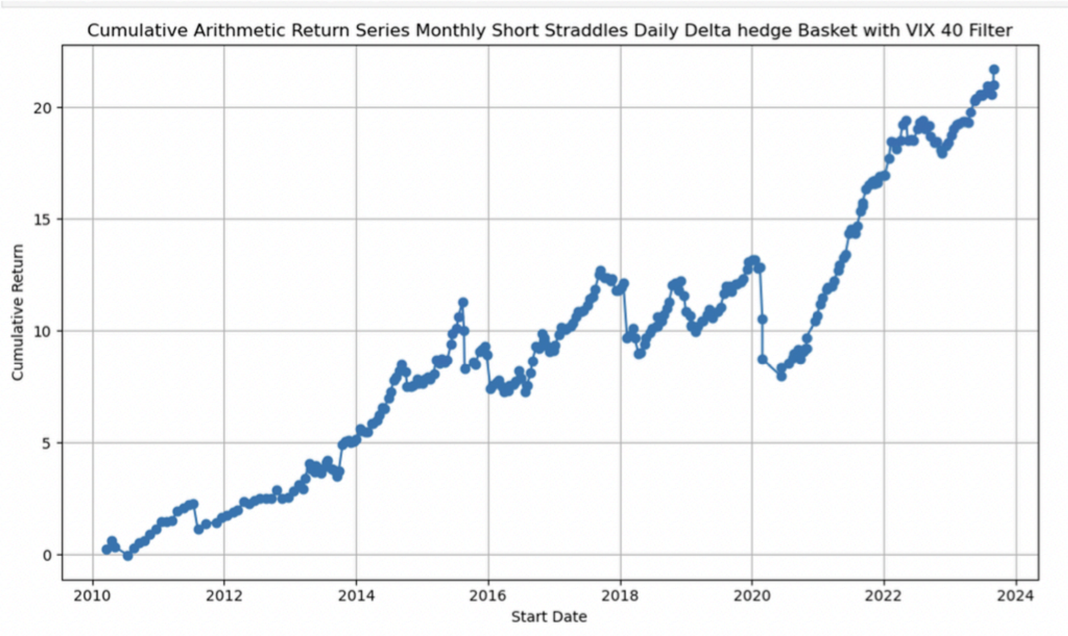
Something to keep in mind is that even though in theory the short straddle return is significantly higher than the short put credit spread return, it assumes you are able to effectively manage all of your positions. Note that management is much easier for the put credit spread structure, so we can assume it's easier to replicate the results. There will be more execution variance in the short straddle returns, which may make the difference in returns smaller than it appears between the approaches. This will be discussed in more detail during the "Structuring and Managing Trades" section.

Factor Analysis: Impact of Filter Trades When VIX > 40

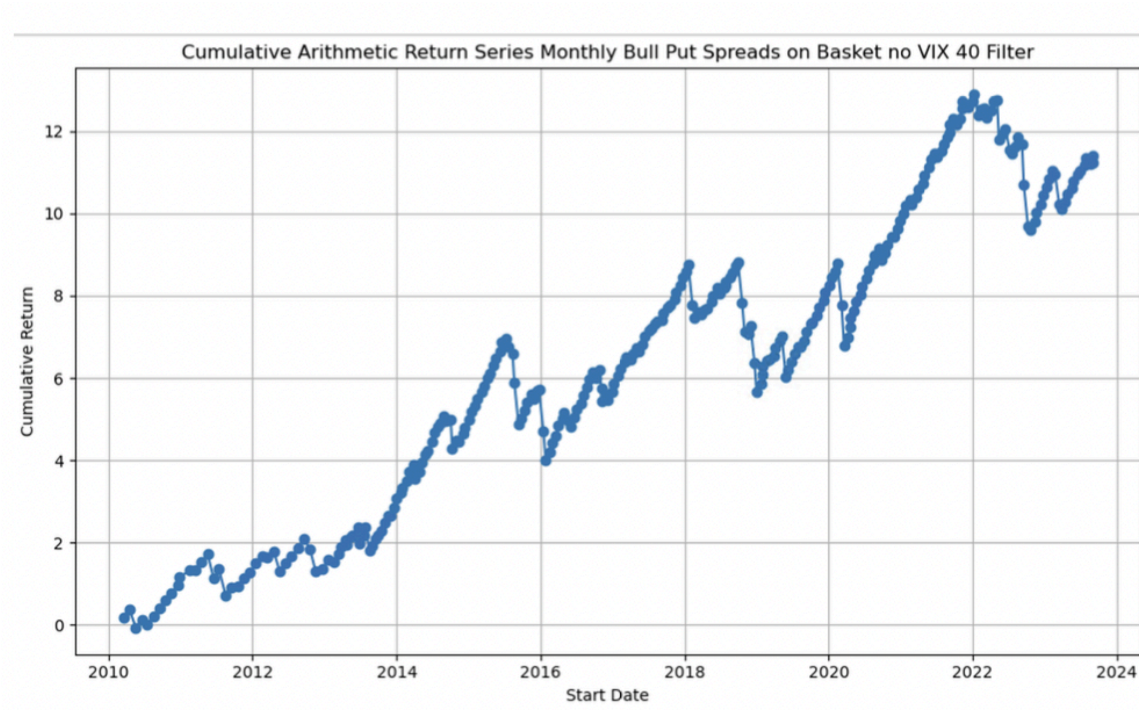
One of the key considerations in trade management is whether **exiting trades when VIX closes above 40** improves performance. The idea behind this rule is to avoid trading during market crashes, since it increases variance even though the risk premium is still present. We apply this rule separately to both **put credit spreads** and **short straddles** and compare the results.

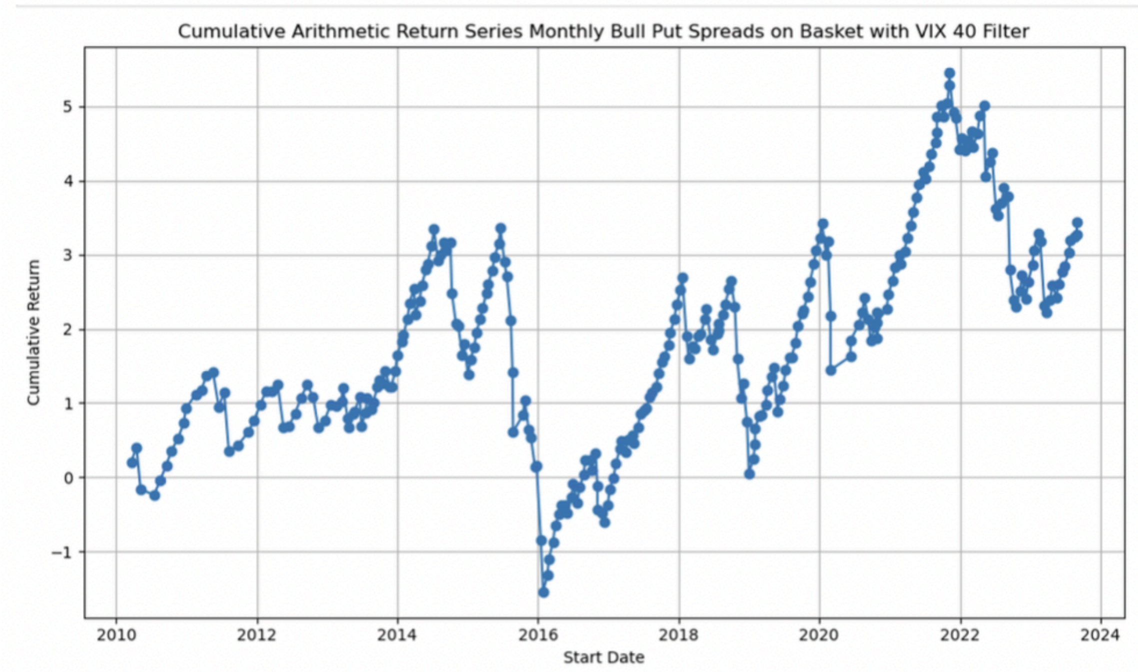
Simulation #1: Short Straddles (With and Without VIX>40 Filter)





Simulation #2: Put Credit Spreads (With and Without VIX>40 Filter)





Interpretation of Results

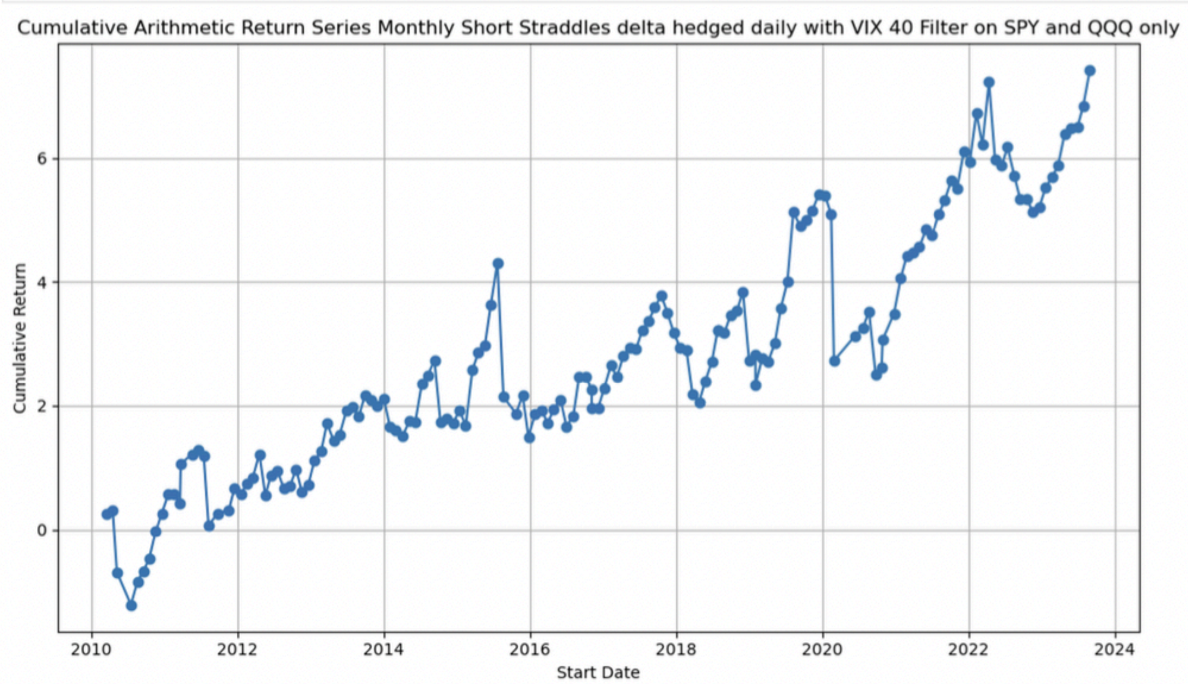
- **For Short Straddles:** Applying the VIX filter significantly **improved performance** by **reducing drawdowns** while maintaining strong returns.

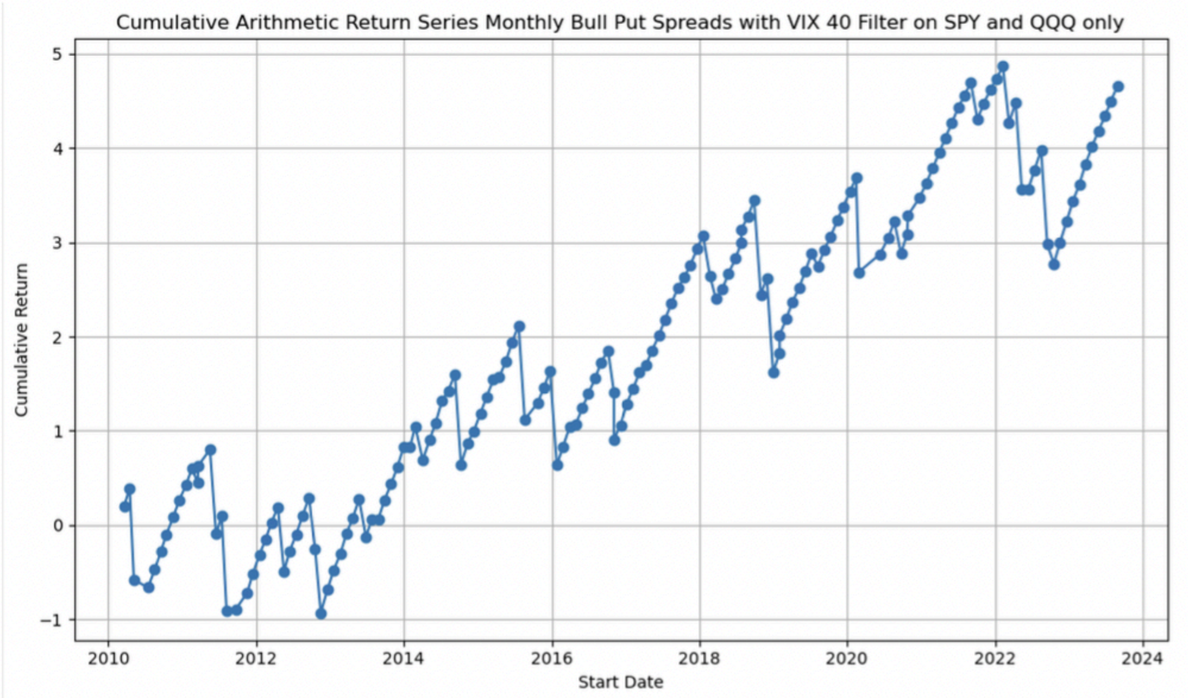
- **For Put Credit Spreads:** The VIX filter **did not meaningfully improve results**, so there is no need to use it.

Conclusion: **Use the VIX filter for short straddles, but not for put credit spreads.**

Factor Analysis: Is it better to trade more or less tickers (diversification benefits)

Another important consideration is whether **trading a basket of ETFs** improves performance compared to trading individual tickers. You have already seen the results for the strategy when trading a basket, so what we will do now is reduce it to just SPY and QQQ. Below is how the results were impacted for both structure options.





Interpretation of Results

Trading a diversified basket significantly increases profits, reduces variance and smooths out returns.

Conclusion: **The optimal approach is to trade a basket of ETFs rather than focusing on any single ticker.**

Backtest Assumptions

Before applying these results, it is important to consider the assumptions that went into the backtests:

- **Tickers Included in Basket**: SPY, IWM, QQQ, DIA, GLD
- **Execution Costs**: Assumes **50% of the bid-ask spread is crossed on entry.**
- **Hedging Rules**: Straddles are **delta-hedged daily**, while put spreads and iron condors are **held passively**.
- **Profit Calculation**: Profit is based on **intrinsic value**, regardless of whether trades are closed early.
- **Risk Measurement**: Drawdown statistics are based on **max risk** (e.g., a -4 max drawdown means that if you invested $10K in each trade, your worst downturn would have been -$40K).
- **Trade Structuring**:
    - Put credit spreads: **0.3/0.1 delta strikes**
    - Straddles: **ATM (at-the-money)**
- **VIX Filter**: Exits trades if **VIX closes above 40**.
- **Spread Selection**: OTM strategies are selected based on the **closest available delta**, rather than optimizing for the best spread in that range.

Strategy Conclusions

As you can see, the data supports the idea that systematically selling volatility on ETFs that have historically had a variance risk premium is a good way to capture future variance risk premium.

We can use two trades to do this. Short straddles, or put credit spreads. The risk/reward profile, and effort to manage the trades are the primary difference. Once again, here's the comparison table for your reference.

Strategy	**Expected Return**	**Max Drawdown**	**Management Complexity**	**Best For**	**Margin Usage**
Short Straddles (With VIX Filter)	Higher	Higher	Requires daily delta hedging	Traders comfortable with active management	High (Margin account + requires level 4 margin)
Short Put Credit Spreads (No VIX Filter)	Lower	Lower	Minimal trade management	Traders who prefer passive strategies	Low (can be traded in IRA account, only Level 2 or 3 required)

Take a moment to decide which of these structures is more in line with what you are looking for from your trading?

Do you value freeing up time to focus on other strategies and activities, or do you prefer to commit to spending more time on trade management to maximize your returns?

For reference, I'd say 75% of members pick the put spread approach, and then focus on the other strategies after they have this one up and running. The other 25% trade the short straddles.

The process for finding trades is the same for both structures, since they both require finding ETFs with a long term variance risk premium.

So once you've made your choice, let's move on to the next chapter where we will go over the exact process for finding the best ETFs to trade.